The Preston North End Football Club Limited

Strategic report, Directors' report and Financial statements

Registered number 039494

30 June 2021

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Strategic report

The directors present their annual report and the audited financial statements for the year ended 30 June 2021.

Principal activities and business review

The principal activities of the company are the operation of a professional football club, together with related and ancillary activities.

Strategy and objectives

The directors' objective is to continue to consolidate the club's position within the Championship and to pursue promotion to the Premier League. The strategy to achieve this objective includes the following key elements:

- The selection and appointment of an effective football management team;
- Identifying talented players and securing these players on contracts within financial parameters;
- Developing young players through the club's academy system; and
- Increasing the company's turnover by attracting new supporters and commercial partners.

Principal risks and uncertainties

There are clearly a number of potential risks and uncertainties which could have a material impact on the company's long-term performance. The directors consider the key risks to be the failure of the club to retain its Championship status together with the company's continued ability to secure sufficient finance to fund its cashflow projections, as detailed in note 1. These and other risks and uncertainties are monitored by the board on a regular basis.

In the short term, the COVID pandemic has resulted in a significant impact on the company's ability to trade and therefore its cash flow. This is mainly as a result of the Club's inability to admit supporters to the stadium to watch football matches. Further detail is provided in note 1 of these financial statements. Although supporters are now permitted to return to the stadium in person, the board continues to review this situation.

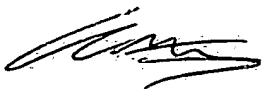
Key performance indicators

Turnover for the year was £10.6m which was lower than the prior year (*2020: £11.2m*), mainly due to reduced gate receipts as result of Covid-19. Conversely, there were nine additional fixtures played in the 2020/2021 financial year which were carried over from the 2019/2020 season due to Covid. This resulted in increases in central distribution revenue from the English Football League and Premier League which are reflected in turnover as matches are played.

Despite the restrictions on supporters attending matches, 828 season ticket holders elected to retain their season ticket in support of the Club and received live internet matchday footage in lieu of stadium entry. This clearly had a negative impact on the Club's finances when compared to average attendances of 13,577 for the matches played with crowds in attendance in the 2019/20 season including 8,385 season ticket holders.

Partly compensating the reduced revenues sustained during the last financial year, the Company secured payments of £2.5m under its business interruption insurance policy and this revenue is included in Other Operating Income.

Operating cash flow continues to be adverse as the club has contracted a squad with wages which are high in comparison to its revenue. The company has therefore been reliant on the financial support of its shareholder.



K Abbott
Director

Registered number: 039494

Sir Tom Finney Way
Deepdale
Preston
PR1 6RU

9th February 2022

Directors' report

Results

The loss after taxation for the year is £13,597,000 (*2020: loss of £6,349,000*).

Proposed dividend

The directors do not recommend the payment of a dividend (*2020: £nil*).

Directors

The directors who held office during the year were as follows:

C Hemmings (Chairman)	Appointed 27th June 2019
JC Kay	Resigned 23rd July 2020
KM Abbott	
AS Hughes	
D Robinson	

Going concern

The directors have prepared the accounts using the going concern assumption, more details of which are set out in note 1 to the financial statements.

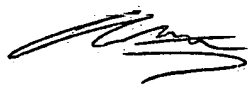
Disclosure of information to auditor

The directors who held office at the date of approval of this directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the company's auditor is unaware; and each director has taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information.

Auditor

Pursuant to section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



K Abbott
Director

Registered number: 039494

Sir Tom Finney Way
Deepdale
Preston
PR1 6RU

9th February 2022

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, THE DIRECTORS' REPORT AND THE FINANCIAL STATEMENTS

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland.*

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities

KPMG LLP
1 St Peter's Square
Manchester
M2 3AE
United Kingdom

Independent auditor's report to the members of The Preston North End Football Club Limited

Opinion

We have audited the financial statements of The Preston North End Football Club Limited ("the company") for the year ended 30th June 2021 which comprise the profit and loss account and other comprehensive income, balance sheet, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30th June 2021 and of its loss for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Material uncertainty related to going concern

We draw attention to note 1 to the financial statements which indicates that that the company's cash flow forecasts show that it requires additional funding for the foreseeable future. Whilst the company has shareholder support, there can be no certainty that this support will continue. These events and conditions, along with the other matters explained in note 1, constitute a material uncertainty that may cast significant doubt on the company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors, as to the Company's high-level policies and procedures to prevent and detect fraud, including the Company's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries.

Independent auditor's report to the members of The Preston North End Football Club Limited *(continued)*

Fraud and breaches of laws and regulations – ability to detect *(continued)*

Identifying and responding to risks of material misstatement due to fraud (continued)

On this audit we do not believe there is a fraud risk related to revenue recognition, this is due to the football season concluding within the financial period meaning that the period revenue should fall into is clear and limited apparent incentives or pressure in respect of the company's results.

In determining the audit procedures, we took into account the results of our evaluation and testing of the operating effectiveness of the Company-wide fraud risk management controls.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries and other adjustments to test based on risk criteria and comparing the identified entries to supporting documentation. These include those posted with unexpected combinations.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, through discussion with the directors (as required by auditing standards) and discussed with the directors the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies' legislation), distributable profits legislation and taxation legislation. We assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: health and safety, anti-bribery, financial fair play regulations, employment law and certain aspects of company legislation recognising the nature of the Company's activities and its legal form.

Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and inspection of regulatory and legal correspondence, if any. Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations

Independent auditor's report to the members of The Preston North End Football Club Limited *(continued)*

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge.

Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report.
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 3, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

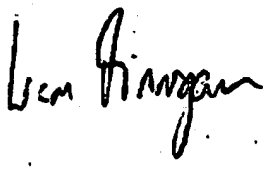
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

Independent auditor's report to the members of The Preston North End Football Club Limited *(continued)*

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Liam Finnigan (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
One St Peter's Square, Manchester, M2 3AE
9th February 2022

Profit and loss account and other comprehensive income

for the year ended 30 June 2021

	Note	**2021** **£000**	2020 £000
Turnover	*2*	**10,587**	11,181
Staff costs	*3*	**(22,886)**	(20,028)
Loss before other operating expenses/income, player trading and amortisation		**(12,299)**	(8,847)
Amortisation of player registrations	*7*	**(3,858)**	(4,015)
Other operating expenses		**(2,972)**	(3,220)
Other operating income- compensation from Business Interruption Insurance		**2,500**	-
Net gain on sale of player registrations		**725**	7,018
Operating Loss	*5*	**(15,904)**	(9,064)
Interest receivable and similar income – loan waivers		-	1
Loss before taxation		**(15,904)**	(9,063)
Tax on loss	*6*	**2,307**	2,714
Loss for the financial year		**(13,597)**	(6,349)
Total comprehensive loss for the period		**(13,597)**	(6,349)

All the results above are from continuing operations.

The notes on pages 11 to 19 form part of the financial statements.

Balance sheet

As at 30 June 2021

	Note	2021		2020	
		£000	£000	£000	£000
Fixed assets					
Intangible assets	7		**4,452**		4,501
Current assets					
Debtors (including £158,000 (2020: £217,000) due after more than one year)	8	**2,083**		3,921	
Cash at bank and in hand		**1,250**		1,203	
		3,333		5,124	
Creditors: amounts falling due within one year	9	**(6,460)**		(4,363)	
Net current (liabilities)/assets			**(3,127)**		761
Total assets less current liabilities			**1,325**		5,262
Creditors: Amount falling due after more than one year	10		**(1,198)**		(487)
Net assets			**127**		4,775
Capital and reserves					
Called up share capital	12		**327**		318
Share premium account			**37,826**		28,886
Profit and loss account			**(38,026)**		(24,429)
Equity shareholders' funds			**127**		4,775

These financial statements were approved by the board of directors on 9th February 2022 and were signed on its behalf by:

K Abbott
Director

Registered number: 039494

The notes on pages 11 to 19 form part of the financial statements.

Statement of Changes in Equity

	Called up Share capital £000	Share Premium account £000	Profit and loss account £000	Total equity £000
Balance at 1 July 2019	312	22,856	(18,080)	5,088
Total comprehensive income for the period				
Loss	-	-	(6,349)	(6,349)
Total comprehensive income for the period	-	-	(6,349)	(6,349)
Transactions with owners, recorded directly in equity				
Issue of shares	6	6,030	-	6,036
Total contributions by owners	6	6,030	-	6,036
Balance at 30 June 2020	318	28,886	(24,429)	4,775
Balance at 1 July 2020	318	28,886	(24,429)	4,775
Total comprehensive income for the period				
Loss	-	-	(13,597)	(13,597)
Total comprehensive income for the period	-	-	(13,597)	(13,597)
Transactions with owners, recorded directly in equity				
Issue of shares	9	8,940	-	8,949
Total contributions by owners	9	8,940	-	8,949
Balance at 30 June 2021	**327**	**37,826**	**(38,026)**	**127**

The notes on pages 11 to 19 form part of the financial statements.

Notes

(forming part of the financial statements)

1 Accounting policies

The Preston North End Football Club Limited (the "Company") is a private company limited by shares and incorporated, domiciled and registered in England in the UK. The registered number is 039494 and the registered address is Sir Tom Finney Way, Deepdale, Preston, Lancashire, PR1 6RU

These financial statements were prepared in accordance with Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* ("FRS 102") as issued in August 2014. The amendments to FRS 102 issued in July 2015 and effective immediately have been applied. The presentation currency of these financial statements is sterling. All amounts in the financial statements have been rounded to the nearest £1,000.

The company's ultimate parent undertaking, Deepdale PNE Holdings Limited includes the company in its consolidated financial statements. The consolidated financial statements of Deepdale PNE Holdings Limited are available to the public and may be obtained from Preston North End Football Club Limited, Sir Tom Finney Way, Deepdale, Preston, PR1 6RU. In these financial statements, the company is considered to be a qualifying entity (for the purposes of this FRS) and has applied the exemptions available under FRS 102 in respect of the following disclosures:

- Reconciliation of the number of shares outstanding from the beginning to end of the period;
- Cash flow statement and related notes; and
- Key management personnel compensation.

As the consolidated financial statements of Deepdale PNE Holdings Limited include the equivalent disclosures, the company has also taken the exemptions under FRS 102 available in respect of the following disclosures:

- The disclosures required by FRS 102.11 *Basic Financial Instruments* and FRS 102.12 *Other Financial Instrument Issues* in respect of financial instruments not falling within the fair value accounting rules of Paragraph 36(4) of Schedule 1.

The company proposes to continue to adopt the reduced disclosure framework of FRS 102 in its next financial statements.

As the company is a wholly owned subsidiary of Preston North End Limited, the company has taken advantage of the exemption contained in FRS102.33.1A and has therefore not disclosed transactions or balances with entities which form part of the group (or investees of the group qualifying as related parties).

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

Judgements made by the directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 17.

Going concern

The financial statements have been prepared on a going concern basis, which the directors believe to be appropriate. The directors acknowledge that, in common with many football clubs in the Championship, the company is likely to incur future losses and net cash outflows. In the current period, losses have increased due to the restrictions in place in respect of match day attendance.

The company has prepared detailed cash flow forecasts that show that it has a projected additional cash flow requirement within twelve months of approval of these financial statements. In the base case, this assumes that the company will see improvements in revenue due to the anticipated recovery of matchday income for the 21/22 football season and subsequent periods.

This recovery is based on covid-19 restrictions being lifted and spectators returning to the stadium. As a result, the forecasts assume that the stadium will be able to operate at normal capacity during 2021/22 and 2022/23 seasons, but should this not be the case, the directors will revisit cash requirements for the remainder of the period.

Notes (continued)

1 Accounting policies *(continued)*

***Going concern** (continued)*

The directors have also prepared a severe but plausible downside forecast which includes no gate receipts for 2 months during the 1st quarter of 2022, this reflects a potential additional lockdown being imposed by the UK government. In both this scenario and the base case, the forecasts show that it has a projected additional cash flow requirement within twelve months of approval of these financial statements and therefore it will require additional funding to meet its liabilities as they fall due for that period.

As in previous years the forecasts have been prepared on a cautious basis such that a good performance in the league, a player sale, a cup run, or increased TV coverage will significantly increase projected income and therefore reduce the projected cash flow requirement. Conversely the club may choose, subject to having sufficient funding in place, to make additional signings in the January and/or August transfer windows if this is considered to be in its best interests and this could increase the projected cash flow requirement.

These forecasts are dependent on the immediate parent company, Preston North End Limited, providing additional financial support during that period. Preston North End Limited has indicated that it will provide additional funding as necessary for the period covered by the forecasts. however, is itself indirectly reliant on support from its ultimate parent undertaking, Grovemoor Limited.

As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that Preston North End Limited has the ability to provide this financial support or that it will continue to provide it, although at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Based on these indications, the directors believe that it remains appropriate to prepare the financial statements on a going concern basis. Whilst the directors acknowledge that Covid-19 will continue to have an impact on the 21/22 season and potentially beyond and subsequently increase cash flow requirements in that period highlighted above, the directors still expect that the support will be forthcoming.

However, the above circumstances represent a material uncertainty which may cast significant doubt on the company's ability to continue as a going concern and therefore to continue realising its assets and discharging its liabilities in the normal course of business. The financial statements do not include any adjustments that would result from the basis of preparation being inappropriate.

Turnover

Turnover comprises income from television rights, gate receipts, merchandising royalty income, sponsorships and other commercial activities, exclusive of value added tax. Season ticket, sponsorship income and income from other commercial activities received prior to the year-end in respect of the following football season is recognised over the season to which it relates. Where such income is in respect of future seasons it is treated as deferred income. Fixed elements of Premier League and English Football League distributions are recognised in the period July to June in the relevant football season. Royalties on merchandising sales are recognised on the date the goods and services are supplied to the customer.

Pensions

A defined contribution plan is a post-employment benefit plan under which the company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

Player registrations and signing on fees

Transfer fees and amounts paid to third parties for player registrations are capitalised as intangible fixed assets and are amortised on a straight-line basis over the period of the respective players' contracts. Any transfer fees payable as a result of the occurrence of one or more uncertain future events are capitalised when it is probable such an event will occur.

Player registrations are assessed on an annual basis and impairment losses arising are charged to the profit and loss account in the period in which they arise. Any surpluses arising are not accounted for.

Notes (continued)

1 Accounting policies *(continued)*

Player registrations and signing on fees (continued)

Player signing on fees have been expensed to the profit and loss account as wages and salaries over the period to which they relate, which is considered to be the length of the player's initial contract with the club. The profit or loss on the disposal of a player registration is calculated after charging any signing on fees which become payable as a result of the disposal.

Amounts receivable and payable under player transfer agreements are often deferred over more than one season. Where this is the case the directors believe it is appropriate to classify transfer fees as current on the basis of this normal operating cycle despite the fact that the amount is not always due to be paid or received within 12 months of the balance sheet date. Amounts receivable are discounted to present value where the amounts are considered material.

Taxation

Tax on the profit or loss for the year comprises current and deferred tax.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on timing differences which arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in the financial statements. Deferred tax is not recognised on permanent differences arising because certain types of income or expense are non-taxable or are disallowable for tax or because certain tax charges or allowances are greater or smaller than the corresponding income or expense.

Deferred tax is measured at the tax rate that is expected to apply to the reversal of the related difference, using tax rates enacted or substantively enacted at the balance sheet date. Deferred tax balances are not discounted.

Basic financial instruments

Trade and other debtors / creditors

Trade and other debtors are recognised initially at transaction price less attributable transaction costs. Trade and other creditors are recognised initially at transaction price plus attributable transaction costs. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses in the case of trade debtors.

Notes *(continued)*

2 Turnover

	2021 £000	2020 £000
Season and match day ticket sales (including cup games)	**550**	2,952
Premier League and English Football League distributions and televised games	**8,891**	7,040
Commercial and media revenue	**983**	971
Merchandising	**111**	109
Other income	**52**	109
Total turnover	**10,587**	11,181

3 Staff numbers and costs

The average number of persons employed by the company (including directors) during the year, analysed by category, was as follows:

	Number of employees 2021	2020
Players, managerial training staff and administration	**100**	100

Included in the above total are 30 *(2020: 36)* first team players, 16 *(2020: 16)* youth team players, 17 *(2020: 12)* first team backroom & support staff, 15 *(2020:16)* youth team backroom & support staff and 22 *(2020:20)* administration and support staff.

In addition to the above, the company employed an average of 56 *(2020: 179)* match day staff during the year.

The aggregate payroll costs of these persons were as follows:

	2021 £000	2020 £000
Wages and salaries	**20,062**	17,555
Social security costs	**2,769**	2,423
Contributions to defined contribution plans	**55**	50
	22,886	20,028

Notes *(continued)*

4 Remuneration of directors

	2021 £000	2020 £000
Directors' emoluments	**116**	166
Group contributions to defined contribution pension plans	**9**	9

	Number of directors	
Retirement benefits are accruing to the following number of directors under:		
Defined contribution schemes	**1**	1

5 Expenses and auditor's remuneration

	2021 £000	2020 £000
Audit of these financial statements	**28**	23
Amortisation of player registrations	**3,858**	4,015

6 Taxation

Total tax expense recognised in the profit and loss account, other comprehensive income and equity

	2021 £000	2020 £000
Current tax		
Current tax on income for the period	**(2,307)**	**(2,714)**
Total current tax	**(2,307)**	**(2,714)**
Total tax	**(2,307)**	**(2,714)**

	2021			2020		
	£000 Current tax	£000 Deferred tax	£000 Total Tax	£000 Current tax	£000 Deferred tax	£000 Total Tax
Recognised in profit and loss account	**(2,307)**	-	**(2,307)**	(2,714)	-	(2,714)
Total tax	**(2,307)**	-	**(2,307)**	(2,714)	-	**(2,714)**

Notes *(continued)*

6 Taxation *(continued)*

Reconciliation of effective tax rate

	2021	2020
	£000	£000
Loss for the year	**(13,597)**	(6,349)
Total tax income	**(2,307)**	(2,714)
Loss excluding taxation	**(15,904)**	(9,063)
Tax using the UK corporation tax rate of 19% *(2020: 19.00%)*	**(3,022)**	(1,722)
Non-deductible expenses	**3**	3
Non-taxable income	**(140)**	(3)
Other	**177**	105
Losses surrendered to other group companies for group relief	**2,982**	1,617
Payment received in respect of group relief	**(2,307)**	(2,714)
Total tax	**(2,307)**	(2,714)

The UK corporation tax rate applicable from 1 April 2021 remains at 19%. Accordingly, the UK deferred tax balance has been calculated using a rate of 19% *(2020: 19%)*. In the 3 March 2021 budget, it was announced that the UK tax rate will increase to 25% from 1 April 2023. This will have a consequential effect on the Company's future tax charge.

7 Intangible fixed assets

	Player registrations
	£000
Cost	
At 1 July 2020	12,478
Additions	4,083
Disposals	(4,053)
At 30 June 2021	**12,508**
Amortisation	
At 1 July 2020	7,977
Charged in year	3,858
On disposals	(3,779)
At 30 June 2021	8,056
Net book value	
At 30 June 2021	4,452
At 30 June 2020	4,501

Notes *(continued)*

8 Debtors

	2021 £000	2020 £000
Trade debtors	**671**	3,745
Taxation and social security	**-**	21
Other debtors	**3**	58
Amounts due from group undertakings	**873**	-
Prepayments and accrued income	**536**	97
	2,083	3,921

Trade debtors include £158,000 *(2020: £217,000)* due after more than one year.

9 Creditors: amounts falling due within one year

	2021 £000	2020 £000
Trade creditors	**1,351**	1,516
Other loans	**194**	97
Amounts owed to group undertaking	**-**	31
Taxation and social security	**911**	784
Other creditors	**-**	1
Accruals and deferred income	**4,004**	1,934
	6,460	4,363

10 Creditors: amounts falling due after more than one year

	2021 £000	2020 £000
Trade Creditors	**808**	-
Other loans	**390**	487
	1,198	487

Notes *(continued)*

11 Loans and borrowings

This note provides information about the contractual terms of the company's loans and borrowings, which are stated at amortised cost:

	Currency	Nominal interest rate	Year of maturity	**Carrying amount 2021 £000**	Carrying amount 2020 £000
Creditors falling due within one year					
Other loans	GBP	Nil	2024	**194**	97
Creditors falling due more than one year					
Other loans	GBP	Nil	2024	**390**	487

12 Called up share capital

	2021 £000	2020 £000
Allotted, called up and fully paid		
Ordinary shares of £1 each	**327**	318

During the year, the company issued 8,940 £1 ordinary shares for consideration of £8,948,940.

13 Operating leases

Non-cancellable operating lease rentals are payable as follows:

	2021 £000	2020 £000
Less than one year	**54**	32
Between one and five years	**62**	39
	116	71

During the year £53,000 was recognised as an expense in the profit and loss account in respect of operating leases *(2020: £43,000)*.

14 Related parties

Identity of related parties with which the group has transacted

The company is wholly owned by Preston North End Limited which, in turn, is wholly owned by Deepdale PNE Holdings Limited (DPNE). DPNE is ultimately controlled by the Hemmings family interests.

During the financial year, Preston North End Limited has subscribed for 8,940 new £0.01 ordinary shares in the company at a premium of £1,000 per share (total proceeds £8,948,940).

Northern Trust Company Limited (NTC) is also a company ultimately controlled by the Hemmings family interests. During the year, the Company has received payments totalling £2,307,000 from NTC in return for corporation tax losses generated by the Company and which will be used by NTC to reduce its own liability to corporation tax.

Notes *(continued)*

15 Subsequent events

Since the year end the company has received funding from the ultimate shareholder of £8,408,000 and acquired the registration of four players.

16 Ultimate parent company

The ultimate parent company is Wordon Limited, incorporated in the Isle of Man.

The smallest group in which the results of the company are consolidated is that headed by Preston North End Limited. Preston North End Limited's accounts are also consolidated into their parent company's accounts, Deepdale PNE Holdings Limited.

17 Accounting estimates and judgements

Key sources of estimation uncertainty

The board considers the key significant judgement to be the judgement that the going concern basis is appropriate. It would only be in circumstances where this was not the case that the judgemental areas in the accounts would carry risk of material adjustment in future years. For example, the carrying value of the intangible assets is supported by either the expectation that players will play out their contracts or the knowledge that appropriate transfer fees would be sought where the player is sold before expiry of the initial contract.